Clarity of purpose of the agent

A central feature of the road ahead is the concept of *agencification*: the establishment of focused agencies that perform clearly specified public policy objectives. High-performance agencies are those with clear objectives, sound design of the organogram and sound processes.

Departments of governments are political creatures, and are led by a minister who is a career politician. They are part of the turbulent world of politics. Agencies are technical organizations, outside departments that perform a well-specified task. Some agencies in India like to see themselves as political players, rivalling the importance of departments of government. However, agencies should be set up with narrow, technical and non-political functions.

These agencies can be public or private. In a PPP contract, a private agent may build a road. This requires drafting a complex contract, and then engaging in contract management around this complex contract. In a canteen contract, a private agent may run a canteen in a government organization. This also requires drafting a complex contract, and then engaging in contract management around this complex contract.

Alternatively, a parliamentary law may create a regulator like FSSAI or a financial agency such as the RBI. This requires drafting a complex contract —the law—and then engaging in contract management around this complex contract. This is the day-to-day functioning of the government department that deals with FSSAI or the RBI.

Delegate whatever you can

Managers of a government department must identify as many clear sub-problems as possible, and kick off a set of agencies (either private or public) thus creating focused teams which pursue well specified objectives. If the agent is a government agency, the relationship is defined in a law or an